

STRATUM CAPITAL BANK

Enterprise Governance & Risk Framework

Chapter 2 — Enterprise Lending Philosophy & Risk Appetite

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DISTRIBUTION**

*Prerequisite: Chapter 1 — Bank Overview must be read before this
chapter.*

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Chapter 2 — Enterprise Lending Philosophy & Risk Appetite

2.1 Purpose of This Chapter

This chapter establishes the definitive enterprise lending philosophy and risk appetite framework of Stratum Capital Bank. It defines the principles, standards, thresholds, and governance obligations that govern every lending activity conducted under the Bank's authority — regardless of product type, client segment, facility size, or origination channel.

All future product-level policy documents produced by Stratum Capital Bank — including but not limited to the Loan Policy Manual, Credit Risk Manual, Mortgage Lending Policy, Personal Loan Policy, SME Lending Policy, and Corporate Credit Policy — must derive their philosophical and risk-tolerance foundations from this chapter. In the event of apparent conflict between a product-level policy and the provisions of this chapter, the provisions of this chapter shall take precedence unless a formally approved exception has been granted by the Chief Credit Officer with ratification by the Chief Risk Officer.

This chapter functions as the single source of truth for lending philosophy within the Bank's Enterprise Governance & Risk Framework. It must be read and acknowledged by all staff holding credit-related responsibilities, as defined in the Delegation of Authority Framework referenced in Chapter 1.

Policy Note: *This chapter does not repeat Bank-level context, organisational structure, or AI system descriptions established in Chapter 1. Readers unfamiliar with those foundations must first complete Chapter 1 before proceeding.*

2.2 Enterprise Lending Philosophy

Stratum Capital Bank's enterprise lending philosophy is founded on a single organising conviction: that sustainable lending is not the product of maximising volume, but of consistently applying sound credit judgment to each borrower's individual financial circumstances, within a portfolio framework that protects the Bank's capital, depositors, and institutional reputation.

The Bank does not regard lending as a transaction. It regards lending as a structured financial commitment between the Bank and a borrower — a commitment that carries obligations on both sides, imposes real risks on both parties, and demands from the Bank a level of professional diligence proportionate to the potential consequences of a poor credit decision.

Five foundational premises underpin the Bank's lending philosophy:

- Credit is a professional judgment, not a mechanical output. No scoring model, algorithm, or automated system relieves a Credit Officer of the obligation to apply informed, documented, independent professional judgment to each credit assessment.
- Affordability is primary. A credit facility that a borrower cannot sustainably repay is not a successful lending product — it is a deferred default. Every approval must be grounded in a demonstrable assessment of the borrower's repayment capacity.
- Transparency creates trust. Borrowers who understand the terms, risks, and obligations of their credit facilities make better financial decisions. The Bank benefits, in the long run, from a better-informed borrowing public.

- Risk must be priced, not hidden. The Bank does not suppress credit risk through inadequate provisioning or deferred recognition. Risk is identified, measured, and reflected in pricing, provisioning, and portfolio management in a timely and transparent manner.
- Ethics are not optional. No revenue objective, origination target, or competitive pressure justifies a credit decision that violates the Bank's ethical principles, responsible lending standards, or regulatory obligations.

Example — Professional Judgment Override: A Loan Officer receives a Tier 1 (Low Risk) AI recommendation for a personal loan application. On reviewing the supporting documentation, the officer identifies that the applicant's stated income is inconsistent with the employment records provided. The officer is required to escalate the inconsistency for verification rather than proceeding on the basis of the favourable AI output. The AI recommendation does not override the officer's professional obligation to verify material information.

2.3 Risk Appetite Statement

The Risk Appetite Statement articulates the nature and magnitude of risk that Stratum Capital Bank is prepared to accept in the pursuit of its lending objectives. The Board of Directors approves the Risk Appetite Statement annually. Material deviations from the defined risk appetite require prior Board or Executive Committee authorisation, as specified in the Delegation of Authority Framework.

The Bank's overarching risk appetite in lending is characterised as moderate-conservative. The Bank seeks adequate risk-adjusted returns while protecting the quality of its loan portfolio, the security of depositor funds, and the long-term sustainability of its franchise. The Bank does not pursue yield enhancement through undue credit risk concentration or by systematically approving credit to borrowers at the margin of its stated risk tolerance.

2.3.1 Risk Appetite by Domain

The following table defines the Bank's approved risk appetite thresholds across material lending-related risk domains. These thresholds are reviewed quarterly and updated annually as part of the Board's formal Risk Appetite review cycle:

Risk Domain	Appetite Level	Tolerance Band	Threshold Indicator	Review Trigger
Credit Risk	Moderate	±5% NPL ratio	Non-Performing Loan Ratio ≤ 4%	Quarterly
Concentration Risk	Low	Single sector ≤ 20% portfolio	Sector exposure report	Monthly
Operational Risk	Low	Zero tolerance for control failures	Incident log; audit findings	Monthly
Model Risk	Low–Moderate	PD model Gini ≥ 0.45	Model performance dashboard	Quarterly
Reputational Risk	Zero Tolerance	N/A	Media monitoring; complaint ratio	Ongoing

Risk Domain	Appetite Level	Tolerance Band	Threshold Indicator	Review Trigger
Compliance Risk	Zero Tolerance	N/A	Regulatory breach register	Ongoing

Policy Note: Soft limits trigger an internal alert and management review. Hard limits constitute a breach requiring immediate escalation to the Chief Risk Officer and, where specified, the Board Risk Committee. Breach of a hard limit does not automatically trigger regulatory notification but must be assessed under the Bank's Regulatory Reporting Policy.

2.4 Responsible Lending Principles

The Responsible Lending Principles in this section extend and operationalise the high-level responsible lending philosophy introduced in Chapter 1. They constitute binding policy obligations applicable to all credit-related staff and functions. Non-compliance with these principles is treated as a serious disciplinary matter.

2.4.1 Principle 1 — Know Your Borrower

Credit assessment must be grounded in a genuine understanding of the borrower's financial position, purpose of borrowing, repayment capacity, existing obligations, and foreseeable financial trajectory. Reliance on headline figures without verification of supporting documentation is prohibited. The depth of know-your-borrower due diligence must be proportionate to the size, complexity, and risk profile of the facility being considered.

2.4.2 Principle 2 — Verified Income, Not Stated Income

The Bank requires documentary verification of borrower income for all credit facilities. Acceptable verification sources include payroll records, tax assessments, audited financial statements, and formal employer confirmations. Self-declared income without corroborating documentation may not form the primary basis of an affordability assessment for any facility above the minimum threshold defined in the applicable product policy.

Example — Income Verification: A small business owner applies for an SME loan of 250,000 in the bank's base currency. The applicant provides bank statements showing regular inflows. The Credit Analyst is required to cross-reference these with the most recent two years of business tax records and any available management accounts. Bank statements alone do not satisfy the income verification standard for facilities of this size.

2.4.3 Principle 3 — Debt Service Capacity Assessment

No credit facility may be approved unless the borrower demonstrates a sustainable Debt Service Coverage Ratio (DSCR) meeting the minimum threshold specified in the applicable product policy. The DSCR assessment must incorporate all existing known obligations of the borrower, not solely the facility under consideration. Where a borrower's total obligation profile is not fully determinable from available information, a conservative estimate must be applied.

2.4.4 Principle 4 — Purpose of Borrowing

The stated purpose of all credit applications must be recorded and assessed for plausibility. Credit Officers are required to identify and document any inconsistency between the stated borrowing purpose and the borrower's financial profile or the structure of the facility requested. Facilities where the purpose

cannot be established or appears inconsistent with the borrower's profile must be escalated for Senior Credit Analyst review.

2.4.5 Principle 5 — Vulnerability Assessment

Where indicators of borrower financial vulnerability are present — including evidence of recent income disruption, prior default history, debt restructuring, or excessive existing indebtedness relative to income — the Credit Officer must apply an enhanced assessment process. This process includes the preparation of a Vulnerability Assessment Note, which is appended to the Credit Application file and reviewed by the Senior Credit Analyst regardless of the AI risk tier assigned to the application.

2.5 Risk-Based Lending Framework

The Risk-Based Lending Framework (RBLF) provides the operational structure through which the Bank's lending philosophy and risk appetite are applied at the individual application level. The RBLF defines the factors that constitute a complete credit risk assessment, their relative weight in the underwriting process, and the standards against which each factor is evaluated.

2.5.1 The Five Cs of Credit — Bank Interpretation

Stratum Capital Bank applies a structured adaptation of the classical Five Cs of credit assessment framework. All Credit Officers are trained in this framework, and its application is expected to be reflected in every credit assessment memorandum produced:

- **Capacity** — The borrower's demonstrated ability to service the proposed debt from verified income or cash flow sources, taking into account existing obligations. This is the primary underwriting variable in the Bank's framework.
- **Capital** — The net worth and financial reserves available to the borrower, providing a secondary repayment source and indicating the borrower's financial resilience in adverse conditions.
- **Collateral** — The nature, value, liquidity, and enforceability of security offered to support the facility. Collateral mitigates loss given default but does not compensate for inadequate capacity assessment.
- **Conditions** — The macroeconomic environment, industry conditions relevant to the borrower's sector, and the specific purpose and terms of the credit facility.
- **Character** — The borrower's historical repayment conduct, disclosure honesty, relationship history with the Bank, and overall professional or personal financial integrity as evidenced by available records.

Policy Note: Collateral adequacy shall not be used as the primary justification for approving a credit facility where the borrower's repayment capacity is materially in doubt. The Bank does not approve credit on the assumption of default and realisation of security. Collateral is a risk mitigant, not a substitute for capacity.

2.5.2 AI PD Score Integration

The Probability of Default score produced by the Bank's AI Decision Support System is integrated into the RBLF as a quantitative risk indicator. It informs the initial risk tier assignment and determines the minimum procedural pathway for the application. It does not replace or override the qualitative factors comprising the Five Cs assessment. Credit Officers are expected to evaluate whether the AI PD score is consistent with their qualitative assessment. Material divergence between the two must be documented and discussed in the credit assessment memorandum.

2.6 Customer Fairness Principles

Stratum Capital Bank is committed to consistent, evidence-based, non-discriminatory treatment of all credit applicants. The Customer Fairness Principles govern how the Bank engages with applicants throughout the credit assessment process, from initial application to final decision communication.

- All applicants are assessed against the same objective credit criteria, regardless of demographic characteristics. Credit decisions are made on the basis of financial and risk-relevant information only.
- Applicants are entitled to a clear, timely communication of the outcome of their application. Where an application is declined, the applicant is entitled to a plain-language explanation of the primary reason for the decision, subject to information security and fraud prevention constraints.

- The Bank does not apply differential credit standards to applicants based on the origination channel through which they applied. An application submitted through a digital channel is assessed under the same standards as an application submitted through a branch or relationship manager.
- Complaints relating to credit decisions are handled through the Bank's formal Complaints Management process and are subject to independent review by the Compliance Department upon request.
- The Bank periodically reviews its credit assessment outcomes for evidence of unintended demographic disparities in approval rates, credit limits, or pricing. Such reviews are conducted by the AI Governance and Analytics Department in conjunction with the Compliance Department and results are reported to the Board Risk Committee.

Policy Note: *These Customer Fairness Principles apply with equal force to AI-assisted and non-AI-assisted credit assessments. The use of an AI model does not diminish the Bank's obligation to ensure that outcomes are fair, explainable, and free from unlawful discrimination.*

2.7 AI-Assisted Decision Philosophy

Stratum Capital Bank's AI-assisted decision philosophy is fully consistent with the AI Governance Philosophy established in Chapter 1 and extends its application to the specific context of credit assessment. The governing principle is that the AI Decision Support System enhances the efficiency and analytical consistency of credit assessment but does not replace, constrain, or override human credit judgment.

2.7.1 Nature of the AI Output

The AI system produces a Probability of Default estimate expressed as a numerical percentage and a corresponding risk tier classification (Low, Medium, or High). These outputs are generated from a supervised Machine Learning model trained on verified historical credit performance data. The outputs represent a statistical inference based on the characteristics of the application relative to historical default patterns; they do not constitute a determination of creditworthiness.

2.7.2 Interpretation Obligations

Every Credit Officer reviewing an AI-generated output is expected to:

- Review the Explainability Module output identifying the principal factors driving the PD estimate.
- Assess whether those factors are consistent with the qualitative information in the application file.
- Identify any material risk factors present in the application that may not be captured by the AI model's input variables.
- Document in the credit assessment memorandum whether the AI output has been accepted as consistent with their professional assessment, or whether grounds exist for divergence.

2.7.3 Permitted Uses of AI Output

The AI risk tier and PD estimate may be used to: determine the minimum procedural pathway for the application (Loan Officer review, Senior Credit Analyst review, or Credit Manager review); inform the Credit Officer's quantitative risk assessment; and support the documentation of the risk basis for a credit decision. The AI output may not be cited as the sole justification for an approval or rejection. Every credit decision must be supported by documented professional reasoning that extends beyond the AI output.

2.7.4 AI Output Override

A Credit Officer may reach a different conclusion from the AI recommendation based on the totality of their professional assessment. Such divergence is legitimate and expected in cases where the qualitative assessment reveals risk factors not captured by the model, or where the model's output is inconsistent with the officer's knowledge of the borrower's circumstances. Override decisions must be documented with the officer's reasoning and countersigned by a supervisor at the next authority tier.

Example — AI Override — Upward: *A long-standing corporate client with a 12-year relationship submits a refinancing application. The AI model assigns a Tier 2 (Medium Risk) classification due to a temporary deterioration in the client's current ratio resulting from a seasonal inventory build. The Senior Credit Analyst, on reviewing the client's historical cash flow patterns, full banking history, and management accounts, determines that the risk classification does not reflect the client's structural credit quality. The analyst documents the override rationale in the credit memorandum. The Credit Manager countersigns.*

2.8 Human Review Requirements

Human review is mandatory at every stage of the credit assessment process. This section defines the minimum review standards applicable to each risk tier and the documentation obligations associated with each stage of review.

2.8.1 Tier 1 — Low Risk (PD 0%–35%)

Loan Officers must complete the Standard Credit Review Checklist for all Tier 1 applications before forwarding the file. The checklist requires documented confirmation of: identity verification; income verification; affordability calculation; purpose of borrowing; security assessment where applicable; and AI output review. Completion of the checklist does not constitute approval. The credit file is forwarded to the Credit Manager for commitment authority.

2.8.2 Tier 2 — Medium Risk (PD >35%–50%)

Medium-risk applications are mandatorily referred to a Senior Credit Analyst following initial Loan Officer review. The Senior Credit Analyst must prepare a written Credit Assessment Memorandum addressing: borrower financial position summary; repayment capacity analysis; risk factor identification; AI output assessment including consistency evaluation; recommendation with supporting rationale; and any proposed conditions or covenants. The memorandum is reviewed and committed to by the Credit Manager.

2.8.3 Tier 3 — High Risk (PD >50%)

High-risk applications are referred from the Loan Officer to a Senior Credit Analyst and then to the Credit Manager. The Credit Manager conducts a full review of the complete application file, analyst memorandum, and AI output before determining disposition. The standard disposition for a Tier 3 application is rejection, communicated through a formal Decline Notification Letter. Where the Credit Manager identifies exceptional mitigating circumstances that would justify approval notwithstanding the high PD, an Exception Approval Request must be prepared and submitted to the Chief Credit Officer for authorisation. Exceptions are not a routine pathway and require compelling documented justification.

Policy Note: Under no circumstances may a Tier 3 application be approved by a Loan Officer or Senior Credit Analyst acting independently. All Tier 3 dispositions — including exceptions — require Credit Manager involvement as a minimum. Board-level exceptions, where the exposure is material, require documentation at the Board Credit Committee.

2.9 Enterprise Decision Matrix

The Enterprise Decision Matrix provides the authoritative summary of the relationship between AI risk tier, AI output, required human review pathway, and commitment authority for all credit applications processed under this Framework:

Risk Tier	PD Range	AI Output	Required Human Action	Commitment Authority
Tier 1 — Low	0% – 35%	Recommend Approval	Loan Officer completes review checklist; forwards file	Credit Manager (Tier 3 authority)
Tier 2 — Medium	>35% – 50%	Manual Review Required	Senior Credit Analyst prepares assessment memorandum	Credit Manager (Tier 3 authority)
Tier 3 — High	>50%	Recommend Rejection	Credit Manager reviews; rejection letter or exception path	Chief Credit Officer (exception only)

The matrix above reflects minimum requirements. Credit Managers retain discretion to apply more stringent review requirements in individual cases where circumstances warrant. Product-level policies may impose additional review requirements above those specified in this matrix, but may not reduce or waive those requirements without formal exception approval.

2.10 Risk Categories in Credit Assessment

Credit risk in individual lending assessments is decomposed into the following categories, each of which must be explicitly addressed in the credit assessment memorandum for medium and high-risk applications, and in the Standard Credit Review Checklist for low-risk applications:

Risk Category	Description	Operational Implication
Default Risk	Probability that borrower fails to meet repayment obligations	Core PD model input; primary underwriting variable
Capacity Risk	Borrower income or cash flow insufficient to service debt	Mandatory income verification; debt-service ratio assessment
Collateral Risk	Security value fails to cover outstanding exposure upon default	Independent valuation required; LTV thresholds applied
Character Risk	History of poor repayment conduct or deliberate non-disclosure	Credit bureau check; reference assessment; fraud screening
Concentration Risk	Excessive portfolio exposure to single sector, geography, or borrower	Portfolio-level monitoring; sector cap enforcement
Structural Risk	Loan terms or covenants inadequate for the risk profile of the facility	Documentation review; legal sign-off for complex structures
Macro Risk	Adverse economic conditions materially increase default probability	Stress testing; macroeconomic overlay in credit assessment

Policy Note: *The risk categories above are not mutually exclusive. Many credit applications will present risk across multiple categories simultaneously. For example, an applicant with marginal repayment capacity (Capacity Risk) operating in a declining sector (Macro Risk) and offering illiquid collateral (Collateral Risk) represents a compound risk profile that warrants heightened scrutiny regardless of the AI-assigned risk tier.*

2.11 Approval Philosophy

The Bank's approval philosophy is grounded in confidence, not optimism. A credit approval must be supportable by documented evidence that the borrower has the capacity, character, and structural circumstances to fulfil their obligations under the proposed facility across a range of foreseeable scenarios — not only under the most favourable assumptions.

An approval decision must satisfy all of the following conditions:

- Affordability has been verified by a qualified officer using acceptable income documentation.
- The Debt Service Coverage Ratio meets or exceeds the minimum threshold specified in the applicable product policy.
- All material risk categories have been assessed and documented.
- The AI PD output and Explainability summary have been reviewed and their consistency with the officer's assessment has been addressed.
- The credit assessment memorandum (for Tier 2) or review checklist (for Tier 1) has been completed and signed.
- Commitment authority has been exercised by the officer holding the appropriate Delegation of Authority tier.

An approval that is not supportable by the documentation standards above is not a valid credit commitment under this Framework, irrespective of whether the customer has been notified. Officers who issue credit commitments outside the required documentation and authority standards are in breach of this Framework and subject to disciplinary action.

Example — Conditional Approval: *A home loan application for a self-employed borrower receives a Tier 1 AI recommendation. The Credit Manager is prepared to approve the facility on the condition that the borrower provides two years of certified tax assessments prior to drawdown. The approval is formally recorded as a Conditional Approval in the credit file. The condition must be satisfied and verified before the facility is advanced. The approval expires after 90 days if conditions remain unsatisfied.*

2.12 Manual Review Philosophy

The Manual Review process — triggered by a Tier 2 (Medium Risk) AI classification — is not a bureaucratic formality. It is a substantive risk assessment exercise in which a Senior Credit Analyst applies professional judgment to a case that the AI model has identified as carrying meaningful but not necessarily disqualifying default risk.

The Manual Review philosophy is structured around four obligations:

- Substance over speed — Manual reviews must not be accelerated in a manner that compromises analytical quality. The three-business-day standard for Tier 2 reviews reflects a minimum adequate assessment period, not a target for shortest possible completion.
- Independent assessment — The Senior Credit Analyst's assessment must represent an independent professional evaluation of the complete credit file, informed by but not deferential to the AI output. The analyst must reach their own conclusion on the merits of the application.
- Documentation of reasoning — The Credit Assessment Memorandum must articulate the analyst's reasoning in sufficient detail to allow a reader unfamiliar with the application to understand the basis for the recommendation. Conclusions without supporting rationale are not acceptable.
- Identification of mitigants and conditions — Where the analyst identifies that approval is justified notwithstanding Medium-risk indicators, the memorandum must document the specific risk mitigants relied upon and, where appropriate, recommend conditions or covenants that reduce the Bank's risk exposure post-approval.

Policy Note: *The three-business-day review standard for Tier 2 applications begins on the date the complete file — including all required income verification documents — is received by the Senior Credit Analyst. Incomplete files are returned to the Loan Officer for completion prior to the commencement of the review clock.*

2.13 Rejection Philosophy

Rejection of a credit application is a legitimate and professionally responsible outcome. The Bank does not regard rejections as failures. A well-reasoned rejection of an application that does not meet the Bank's credit standards is a demonstration of the governance framework functioning as intended.

Rejection decisions must adhere to the following standards:

- A rejection must be supported by documented reasoning identifying the specific credit criteria that the application failed to satisfy. Generic or formula rejections without individualised reasoning are not acceptable.
- The Decline Notification Letter issued to the applicant must communicate the primary reason for the rejection in plain language, without disclosing information that could compromise the Bank's security interests, fraud prevention activities, or model confidentiality.
- A rejected application may not be reconsidered by the same Credit Officer who issued the initial rejection. Reconsideration requests must be referred to a Credit Manager.
- Where a rejection is based in whole or in part on the AI risk tier classification, the Decline Notification must not represent the AI output as the Bank's institutional decision. The communication must reflect the Bank's human decision, which may have been informed by the AI output.
- Rejected applicants are entitled to information on the Bank's appeal and complaints processes. This information must be included in all formal Decline Notifications.

Example — Tier 3 Rejection Communication: *An applicant receives a Tier 3 (High Risk) AI classification. Following Credit Manager review, the application is rejected. The Decline Notification Letter states: 'Following a comprehensive assessment of your application, including a review of your current income, existing financial obligations, and repayment history, the Bank has determined that it is unable to approve your request at this time. The primary basis for this decision is that your current debt obligations relative to your verified income do not satisfy the Bank's minimum affordability standards for this product.' The letter does not reference the AI system or the PD percentage.*

2.14 Risk Escalation Process

The Risk Escalation Process defines the structured pathways through which credit risk concerns, threshold breaches, and exceptional cases are elevated to appropriate authority levels for resolution. Escalation is not a discretionary act — defined triggers mandate escalation as a governance obligation.

Escalation Trigger	Escalation Recipient	Required Documentation	Response Timeframe
PD > 35% (Tier 2 threshold)	Senior Credit Analyst	Full financial file; AI output summary	3 business days
PD > 50% (Tier 3 threshold)	Credit Manager	Analyst memorandum; complete file	5 business days
Exception to standard policy requested	Credit Manager + Chief Credit Officer	Exception justification memo; risk assessment	7 business days
Borrower in active financial distress	Credit Manager + Enterprise Risk	Distress assessment; restructuring options memo	2 business days
Exposure exceeds single-borrower limit	Chief Credit Officer + CRO	Group exposure report; concentration analysis	Immediate
AI model override by officer	Credit Manager (for record)	Override notation; documented professional rationale	Same day
Suspected fraudulent application	Compliance Department + Management	Fraud incident report; evidence file	Immediate

Escalation timelines are measured in business days from the identification of the escalation trigger. Staff who identify an escalation trigger are responsible for initiating the process within the same business day. Failure to escalate a known trigger within the required timeframe is treated as a governance breach subject to the Bank's disciplinary procedures.

2.15 Portfolio Diversification Principles

The Bank manages its loan portfolio as a whole, not only as an aggregation of individual credit decisions. Portfolio diversification principles ensure that the cumulative effect of individual lending decisions does not create systemic vulnerability to sector-specific, geographic, or economic shocks.

The Bank's portfolio diversification strategy is governed by the following principles:

- **Sector diversification** — The Bank actively manages its exposure across economic sectors to avoid excessive dependence on the performance of any single industry. Credit Officers in relationship banking roles are expected to be aware of the Bank's current sector exposure profile when originating new business.
- **Geographic diversification** — Where the Bank operates across multiple regions, loan originations are monitored at regional level to prevent concentration in geographic areas with elevated economic or political risk.

- Product diversification — The Bank maintains a balanced distribution of credit across its product categories. Excessive concentration in a single product type creates correlated risk exposure if economic conditions adversely affect that product's borrower population.
- Borrower diversification — No single borrower or connected group of borrowers shall represent a disproportionate share of the Bank's total credit exposure. Single-borrower and connected-group limits are defined in the Concentration Risk section below and the Delegation of Authority Framework.
- Tenor diversification — The Bank manages the maturity profile of its portfolio to avoid excessive concentration of repayment obligations in short time horizons, which would create liquidity stress in adverse market conditions.

2.16 Concentration Risk Management

Concentration risk arises when lending activity creates disproportionate exposure to a single source of credit risk, such that an adverse event affecting that source would have a material impact on the Bank's portfolio quality. Concentration risk is managed through quantitative limits monitored on an ongoing basis by the Credit Risk Management Department.

Concentration Dimension	Soft Limit (Alert)	Hard Limit (Breach)	Breach Action
Single industry sector	15% of total portfolio	20% of total portfolio	Immediate CRO escalation
Single geographic region	25% of total portfolio	35% of total portfolio	Portfolio review initiated
Single product type (e.g. personal loans)	30% of total portfolio	40% of total portfolio	Credit Committee review
Single borrower or connected group	2% of Tier 1 capital	5% of Tier 1 capital	Board approval required
High-risk tier applications (PD > 50%)	8% of new originations	10% of new originations	Origination freeze pending review

The Credit Risk Management Department produces a monthly Concentration Risk Report covering all dimensions above. The report is reviewed by the Chief Credit Officer and distributed to the Chief Risk Officer. Quarterly summaries are presented to the Board Risk Committee. Any hard limit breach triggers an immediate Concentration Risk Escalation Report, regardless of the position in the reporting cycle.

Policy Note: Hard limits define the maximum permissible exposure level. Reaching the hard limit does not automatically suspend all new originations in the affected category, but it triggers a formal Credit Committee review within five business days to determine whether origination in that category should be curtailed, redirected, or managed through targeted portfolio disposal.

2.17 Ethical Lending Standards

Ethical lending standards at Stratum Capital Bank extend beyond legal compliance. They represent the Bank's commitment to treating borrowers honestly, equitably, and with due regard for their financial wellbeing — even in circumstances where a legally permissible but ethically questionable practice might be commercially advantageous.

2.17.1 Prohibited Practices

The following practices are prohibited under the Bank's ethical lending standards, irrespective of client consent or commercial justification:

- Approving credit facilities that the assessing officer has reasonable grounds to believe the borrower cannot sustainably repay, with the expectation that default and security realisation will recover the Bank's exposure.
- Structuring credit facilities in a manner that obscures total cost to the borrower through deferred fees, complex repayment structures, or non-transparent interest rate mechanisms.
- Applying differential credit terms to borrowers on the basis of characteristics that are not relevant to creditworthiness, including any characteristic that constitutes a protected ground under applicable non-discrimination principles.
- Misrepresenting the role or authority of the AI system to borrowers — including suggesting that a credit decline was 'decided by a computer' in a manner that precludes the borrower's right to a human review.
- Applying commercial pressure on Credit Officers to approve applications that do not satisfy the Bank's credit standards, through performance targets, incentive structures, or direct instruction.

2.17.2 Conflict of Interest Management

Credit Officers must declare any personal, family, or financial relationship with an applicant or the applicant's connected parties prior to assessing or contributing to the assessment of that applicant's credit application. Declared conflicts result in mandatory recusal from the application. The Conflict of Interest Register is maintained by the Compliance Department and reviewed quarterly.

2.18 Credit Discipline

Credit discipline refers to the institutional culture and individual professional standards through which the Bank's lending philosophy is translated into consistent, high-quality credit practice. Credit discipline is not achieved through rules alone — it requires a professional culture in which Credit Officers take personal ownership of the quality of their credit assessments.

The Bank reinforces credit discipline through the following mechanisms:

- Annual Credit Certification — All Credit Officers must complete the Bank's mandatory annual credit certification programme, which covers current credit standards, AI system interpretation, and regulatory developments. Certification is a condition of continued credit authority.
- Credit Quality Review — The Credit Risk Management Department conducts quarterly reviews of a random sample of approved and declined applications to assess adherence to credit policy, documentation standards, and the quality of professional reasoning recorded in assessment memoranda.
- Portfolio Performance Accountability — Credit Officers and Analysts maintain a record linkage between their approved applications and the subsequent performance of those facilities. Systematic underperformance in an officer's approved portfolio relative to the Bank's standards is

treated as a credit quality concern and triggers a supervised review of the officer's assessment process.

- Peer Review for Complex Cases — Medium and high-risk credit assessment memoranda for facilities above defined size thresholds are subject to a mandatory peer review by a second qualified analyst before submission to the Credit Manager. This requirement is specified in the applicable product policy.
- No-Recrimination Override Culture — The Bank formally protects Credit Officers who decline applications or override AI recommendations in good faith based on their professional assessment. No officer may be subjected to adverse treatment for exercising sound credit judgment that results in a declined facility.

2.19 Continuous Portfolio Monitoring

Credit risk does not end at loan approval. The Bank's continuous monitoring framework establishes the obligations applicable to the ongoing surveillance of the loan portfolio, the performance of the AI model, and the Bank's adherence to its risk appetite thresholds throughout the credit lifecycle.

Monitoring Indicator	Review Frequency	Responsible Party	Escalation if Breached
PD model Gini coefficient	Quarterly	AI Governance & Analytics	CRO + Model Governance Committee
Portfolio NPL ratio	Monthly	Credit Risk Management	Chief Credit Officer
Sector concentration exposure	Monthly	Credit Risk Management	CRO if hard limit approached
AI override rate by officer	Monthly	AI Governance & Analytics	Chief Credit Officer
Manual review queue age	Weekly	Credit Operations	Credit Manager
Exception approval rate	Monthly	Compliance Department	Chief Compliance Officer
Customer complaint — credit decisions	Ongoing	Customer Relations + Compliance	Compliance Director

In addition to the structured monitoring indicators above, the Credit Risk Management Department is responsible for conducting an annual portfolio stress test. The stress test models the impact of defined adverse macroeconomic scenarios on the Bank's non-performing loan ratio, capital adequacy, and concentration exposure. Stress test results are reviewed by the Executive Committee and presented to the Board Risk Committee.

2.19.1 Early Warning Indicators

The following borrower-level conditions constitute Early Warning Indicators (EWIs) and trigger a mandatory portfolio review for the affected facility:

- Repayment arrears exceeding 30 days on any obligation with the Bank or, where known, with third parties.
- Material deterioration in verified income or business cash flow relative to the levels assessed at origination.
- Notification of significant adverse change in borrower employment status, business viability, or legal standing.
- Evidence of significant new indebtedness assumed by the borrower after loan origination without Bank notification.
- Decline in collateral value below the minimum Loan-to-Value threshold specified in the facility's security terms.

On identification of an EWI, the responsible Relationship Manager or Loan Officer must notify the Credit Risk Management Department within two business days. The Department initiates a facility review and, where appropriate, an escalation under the Risk Escalation Process defined in Section 2.14.

Policy Note: *Early Warning Indicators are a risk management tool, not an automatic trigger for facility recall or legal action. The Bank's default position on identification of an EWI is to engage the borrower constructively to understand the circumstances and explore available options, consistent with the Bank's responsible lending obligations and long-term relationship banking philosophy.*

2.20 Chapter Summary

Chapter 2 of the Stratum Capital Bank Enterprise Governance & Risk Framework has established the comprehensive enterprise lending philosophy and risk appetite framework that governs all credit activity conducted by the Bank. The following foundational standards have been defined and are binding across all product categories, client segments, and origination channels:

- The Enterprise Lending Philosophy, affirming that sustainable lending requires professional judgment, verified affordability, transparent risk pricing, and ethical conduct — not volume maximisation.
- The Risk Appetite Statement, defining moderate-conservative appetite thresholds across credit, concentration, operational, model, reputational, and compliance risk domains, with approved soft and hard limits reviewed quarterly.
- The Responsible Lending Principles, including Know Your Borrower, Verified Income, Debt Service Capacity Assessment, Purpose of Borrowing, and Vulnerability Assessment obligations — all of which are binding on credit-related staff.
- The Risk-Based Lending Framework, incorporating the Five Cs assessment structure and the integration of the AI Probability of Default score as a quantitative indicator within a broader qualitative framework.
- Customer Fairness Principles, mandating consistent, non-discriminatory, explainable treatment of all applicants across all origination channels and facility types.
- The AI-Assisted Decision Philosophy, defining the interpretation obligations, permitted uses, and override standards applicable to all AI-generated credit outputs.
- Human Review Requirements for each risk tier, with minimum documentation standards and commitment authority designations for Tier 1, Tier 2, and Tier 3 applications.
- The Enterprise Decision Matrix, providing the authoritative mapping of AI risk tier to process pathway and commitment authority.
- Eight defined risk categories — Default, Capacity, Collateral, Character, Concentration, Structural, and Macro Risk — each of which must be addressed in credit documentation for medium and high-risk applications.
- Approval, Manual Review, and Rejection philosophies, each defining the quality standards, documentation requirements, and communication obligations associated with each disposition outcome.
- A structured Risk Escalation Process with defined triggers, recipients, required documentation, and response timeframes.
- Portfolio Diversification Principles and Concentration Risk limits across sector, geography, product, borrower, and tenor dimensions.
- Ethical Lending Standards including prohibited practices and conflict of interest management obligations.
- Credit Discipline mechanisms including annual certification, quality review, portfolio performance accountability, and a no-recrimination override culture.
- A Continuous Portfolio Monitoring framework covering eight key indicators and Early Warning Indicator protocols for individual facility surveillance.

This chapter constitutes the single source of truth for lending philosophy within Stratum Capital Bank. All product-level credit policies, operational procedures, and lending guidelines must be consistent with the provisions of this chapter. Conflicts must be resolved by reference to this chapter, and any proposed product policy that would require deviation from these provisions must be submitted to the Chief Credit Officer and Chief Risk Officer for formal exception approval prior to adoption.

— End of Chapter 2 —

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